

Oracle Corporation (ORCL)

Discounted Cash Flow Valuation

Model date: October 5, 2026, | Carlos D'Trinidad | Personal educational project, not investment advice

A 10-year unlevered DCF model of Oracle Corporation built in Excel, with bear/base/bull scenarios, a PP&E roll-forward that ties depreciation to Oracle's AI data-center buildout, and two sensitivity tables.

Base case: \$182.43 implied share price vs. \$142.48 close on Oct 5, 2026 (~28% upside). The scenario range is wide (\$75 to \$266), and that spread is the main finding: Oracle's value depends on whether its AI infrastructure spending converts into cash flow.

Valuation Summary

Scenario	Implied price	vs. \$142.48	% of EV from terminal value
Bear	\$74.64	(47.6%)	74%
Base	\$182.43	+28.0%	71%
Bull	\$266.28	+86.9%	70%

All three use the same WACC (10.7%), terminal growth (3.5%) and mid-year convention. Only revenue growth (FY27–FY31) and EBITDA margins change between scenarios.

The Investment Question

Oracle spent about \$55.7B on capex in FY2026, roughly 83% of its \$67.4B revenue, to build AI and cloud data-center capacity. Free cash flow went negative. The bull case says a ~\$523B backlog of contracted revenue turns that spending into a much larger, profitable cloud business. The bear case says growth slows, margins compress as lower-margin GPU rental grows, and the company is left carrying heavy debt.

The model is built to make that trade-off explicit. Base-case free cash flow is negative in FY27 and FY28 and only turns strongly positive once capex intensity falls.

(\$mm)	FY27E	FY28E	FY29E	FY30E	FY31E	FY36E
Revenue	89,372	130,752	163,440	192,859	216,002	301,160
Unlevered FCF	(22,849)	(13,966)	7,665	28,423	46,989	80,920

Methodology

1. Free cash flow build (EBITDA-based)

Revenue × EBITDA margin = EBITDA. EBITDA – D&A = EBIT. EBIT is taxed at 19% to get NOPAT. NOPAT + D&A – capex – change in working capital = unlevered free cash flow.

2. D&A from a PP&E roll-forward

Instead of assuming D&A as a percentage of revenue, D&A is 12% of beginning net PP&E. Each year's capex adds to PP&E and D&A reduces it, so the capex wave automatically raises future depreciation rather than the two being set independently.

3. 10-year forecast with a growth fade

FY27–FY28 follow Street consensus. FY29–FY31 decelerate as the backlog is worked through. FY32–FY36 fade linearly to the 3.5% terminal rate, so the terminal year reflects a mature business rather than one still mid-buildout.

4. Discount rate (WACC = 10.7%)

Input	Value	Basis
Risk-free rate	5.3%	10-year Treasury, ~5.2% in late Sept 2026
Equity risk premium	4.20%	Damodaran implied ERP (NYU Stern), as of Oct 1, 2026
Levered beta	1.73	High end of 2026 vendor betas (~1.26–1.72); conservative
Cost of equity (CAPM)	12.6%	$5.3\% + 1.73 \times 4.20\%$
Pre-tax cost of debt	6.0%	Approximate; S&P rated ORCL BBB- in July 2026
Tax rate	19%	Approximate effective rate
Weights (market values)	76% / 24%	\$410B market cap equity, \$130B debt

5. Terminal value

Gordon growth on FY36 free cash flow at 3.5%. Under the mid-year convention, cash flows are discounted at 0.5, 1.5 ... 9.5 years, and the terminal value uses the final year's discount factor.

Sensitivity Analysis

Implied price: WACC vs. terminal growth

WACC \ g	2.5%	3.0%	3.5%	4.0%	4.5%
9.7%	\$199	\$212	\$228	\$246	\$267
10.2%	\$180	\$191	\$203	\$218	\$235
10.7%	\$162	\$172	\$182	\$195	\$209
11.2%	\$147	\$155	\$164	\$175	\$186
11.7%	\$134	\$141	\$149	\$157	\$167

Implied price: levered beta vs. terminal growth

Beta	WACC	g = 2.5%	g = 3.5%	g = 4.5%
1.00	8.4%	\$268	\$317	\$392
1.20	9.0%	\$231	\$269	\$323
1.40	9.7%	\$201	\$230	\$271
1.60	10.3%	\$177	\$200	\$230
1.73	10.7%	\$162	\$182	\$209

Beta is the single largest valuation lever in the model. Moving from 1.73 to 1.20 adds about \$86 per share.

Sanity Checks

- **Terminal value share of EV: 71%.** High but typical for a company still investing heavily. An earlier 5-year version was 95%, which is why the forecast was extended.
- **Implied terminal EV / FY36 EBITDA: 8.4x.** Conservative relative to large-cap software and infrastructure peers, so the terminal value is not doing anything aggressive.
- **Terminal capex / D&A: 1.07x.** Reinvestment slightly exceeds depreciation, consistent with 3.5% perpetual growth.

Key Judgment Calls

- **Operating leases excluded from net debt.** Oracle reports about \$30.2B of operating lease liabilities. Under US GAAP, operating lease cost is already deducted in EBITDA, so also subtracting the liability would double-count it. Figure: \$3,542mm current + \$26,648mm non-current = \$30,190mm on May 31, 2026, per the lease note in Oracle's SEC filings.
- **Beta of 1.73** reflects Oracle's elevated 2026 volatility. A bottom-up beta built from unlevered peer betas is the next refinement.
- **Capex tapers** from 65% of revenue in FY27 to 12.5% by FY36. The valuation is very sensitive to this path.
- **12% depreciation rate** implies roughly an 8-year average asset life, blending short-lived servers with long-lived buildings and land.

Limitations

- Customer concentration in the AI backlog is not modeled explicitly; the bear case is the stand-in.
- Cost of debt is approximate rather than taken from the yield on Oracle's bonds.
- Share count is held flat; buybacks and stock-based compensation are not modeled.
- Working capital is a simple 3%-of-incremental-revenue assumption.

Using the Model

Open ORCL_DCF_Model.xlsx. Blue cells are inputs, black cells are formulas, and yellow cells are the key switches. Every hardcoded input has a cell comment explaining its source or reasoning.

Tab	What's there
Assumptions & WACC	Market data, capital structure, WACC, scenario selector (C28), mid-year toggle (C30), scenario inputs
DCF Valuation	FCF build, PP&E roll-forward, discounting, equity bridge, sanity checks
Sensitivity	WACC × terminal growth and beta × terminal growth tables

Sources

Data	Source
Revenue, shares, debt, cash, PP&E, leases, tax rate	Oracle SEC filings (FY2026 10-K, Q1 FY2027 10-Q): https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001341439&type=10-&dateb=&owner=include&count=40
Equity risk premium	Aswath Damodaran, NYU Stern: https://pages.stern.nyu.edu/~adamodar/
Risk-free rate	FRED, 10-Year Treasury (DGS10): https://fred.stlouisfed.org/series/DGS10
Share price (\$142.48, Oct 5, 2026) and beta	Google Finance: https://www.google.com/finance/quote/ORCL:NYSE
FY27–FY28 consensus revenue	Yahoo Finance analyst estimates: https://finance.yahoo.com/quote/ORCL/analysis/
~\$523B RPO backlog	Oracle Investor Relations: https://investor.oracle.com/home/default.aspx
S&P BBB- downgrade (July 2026)	Wall Street Journal, July 9, 2026: https://www.wsj.com/livecoverage/stock-market-today-dow-sp-500-nasdaq-07-09-2026/card/oracle-gets-credit-rating-downgrade-QkUs8pIVb7BIZRnDwzi6